

PRICING STRATEGIES AND SALES TOOLS

DAY 2



FUNDAMENTALS OF COSTING AND PRICING

LESSON SIX

TERMS AND CONDITIONS OF SALES

LESSON SIX:

TERMS AND CONDITIONS OF SALES

Your terms & conditions of sale set out the parameters and requirements under which your business will engage in transactions with potential or existing customers.

They should be seen as a binding and legal agreement between yourself and the customer in terms of your engagement and interaction. Thus, they need to be communicated and agreed to clearly and up front before any work commences. They should include:

- The **prices** of the goods or the services that have been purchased.
- The **mode of payment** for the goods or services purchased.
- Details and **feature specifications** of the goods or services.
- The details about the **delivery date** for the goods or services.
- The **responsibilities of the customer** according to the terms and conditions as decided upon by the seller and the customer.
- The **responsibilities of the supplier** as decided upon by the seller and the customer.
- The **limit on the liabilities** of the supplier, in case of any problem.
- The details regarding the schedule of the proposal.
- In case the deal is between a business and a client (B2C), then details about the clause regarding **cancellation of the purchase order** and refund of money needs to be included.
- In case of a deal between two business parties (B2B), there will be clauses regarding **alterations, warranty, compensation, intellectual property rights, and termination** of the deal.

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TERMS AND CONDITIONS

...s apply whatever the purchaser's general purchasing conditions may be. ...
...stipulated in the order, will only be considered as accepted once our w...
...The order is considered as final only after our acknowledgement of the

Commit of the Offer

...ffer only exclusively to the supply of services specified by

...The purchaser in no case will be allowed to put forward

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Sample Terms & Conditions – Product focused

Dear Valued Customer,

Thank you for your interest in our products. In order to allow us to give you our best service and minimise any confusion, please read our Conditions of Sale before we commence with the order.

ORDERS:

- All prices quoted in ZAR and ex-works unless otherwise stated.
- Please follow our minimum sales units per style and colour when placing wholesale orders
- Lead time for orders 3 – 4 weeks unless otherwise arranged – why is this important?
- Please order in writing and specify any special instructions

FREIGHT AND SHIPPING:

- We are happy to work with your preferred service providers, or we can arrange shipping for you ourselves
- We prefer not to send goods through the postal service – should you wish to receive orders through these channels, we will require that you sign a waiver form absolving us of any responsibility for loss or damage.
- We will quote on sending orders via airfreight for export and via road domestically, unless otherwise specified

PAYMENT TERMS AND INSTRUCTIONS:

- On placement of an order, an invoice will be supplied with all our details
- Our terms are 50% deposit on placement of order, and balance on shipping. If you can get this – for some clients not an option, so you need to be prepared & do your sums.
- We will require balance of payment on presentation (via fax or email) of the freight documents or Bill of Lading for export, or on delivery as applicable.
- All goods remain property of our company until fully paid for
- Please quote your invoice number as a reference when making payments
- We will be unable to commence with an order until the 50% deposit has been received

OTHER:

- Please note that these products are all handmade, and as such some minor variance is possible
- Prices include all labour, materials and basic packaging, but exclude any special packaging requirements, delivery or freight costs as may arise
- Sampling costs and design work for custom products will be charged for at an agreed rate.

Sample Terms & Conditions – Recurring Service

This Agreement represents a Service Level Agreement (“SLA” or “Agreement”) between [your company name], further to be called Service Provider and the Service User for the provisioning of services required to support and sustain the [insert your product or service plus description]. This Agreement applies once the [Product of Service] is ordered by the Product User.

1. Objective of the Agreement

The purpose of this Service Level Agreement is to describe the key services the Service Provider provides and the quality standards it has agreed in terms of service delivery.

This Agreement sets out:

- the services the Service Provider provides to customers;
- the overall standard which the Service Provider aims to achieve in the provision of our services; and
- a mechanism for resolving any problems relating to the delivery of the service.

2. Future reviews and amendments to this Agreement

This agreement will be reviewed [annually/quarter-annually/semi-annually] as part of the [annually/quarter-annually/semi-annually] planning process and any changes will be agreed with Service Users.

3. Service Agreement

The following detailed service parameters are the responsibility of the Service Provider on the ongoing support of this Agreement.

3.1 Service Scope

The following Services are covered by this Agreement;

a)

3.2 Service User Requirements

Service User its responsibilities and/or requirements in support of this Agreement include:

a)

3.3 Service Provider Requirements

The Service Provider its responsibilities and/or requirements in support of this Agreement include:

a)

3.4 Service Assumptions

Assumptions related to in-scope services and/or components include:

a)

4. Service Users (if applicable)

(Insert the names of the other parties to this agreement)

5. Responsibilities – who we are, what we do

(Insert a brief outline of roles/responsibilities within the team and relevant contact information)

6. Service Availability

(Insert how and when can people access your service?)

7. Description of key services

(Insert key service/quality standards with lead times for delivery - this should be linked to key performance indicators. These should be the most important results, not detailed processes. Specify which services are generic and applicable to all users of the service and which services are specific to a user of the service or a group of users.)

8. What the Service Provider needs from Service Users

(Describe what information you need, by when, from your Service Users to enable you to deliver an effective service)

9. Service Levels/Standards

(Describe how you will measure, monitor and evaluate service performance – quantitatively and qualitatively)

10. Monitoring success

(Report on performance – what will be your key performance indicators/outcomes or impacts)

11. Complaints

(Describe how complaints or conflicts will be dealt with and resolved)